Centrus Energy (LEU)

Backlog-Driven Growth Offsets Near-Term GAAP Drag

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> Centrus Energy's core enrichment franchise is anchored by a $4.5 billion backlog that extends to 2040 and a $900 million DOE HALEU award that opens a new high-value product line. The market is fixated on the current GAAP earnings dip caused by non-capitalizable expansion costs, yet the underlying cash-flow profile and strategic positioning suggest multi-year compounding upside. We therefore assign a Buy rating with a blended target of $138.15, implying +24.8% upside versus the $110.74 spot price.

BUY	$138.15	+24.8%	$110.74
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

The market is preoccupied with a temporary GAAP earnings contraction, while the true catalyst is a multi-year backlog expansion and HALEU award that will drive sustainable free cash flow growth.

EXECUTIVE SUMMARY

Centrus Energy is the United States' sole commercial provider of low-enriched uranium (LEU) fuel for nuclear power plants. Its business consists of a single enrichment segment that converts natural uranium into LEU and, more recently, a high-assay low-enriched uranium (HALEU) capability funded by the Department of Energy. The company's strategic assets include the Piketon, Ohio enrichment plant and a pipeline of new centrifuge technology slated for deployment by the end of 2026. The quarterly record shows a mixed picture. Q1 FY2026 revenue rose 5% to $76.7 million, but GAAP net income fell 63% to $10.0 million as advanced technology costs surged. Q2 FY2026 revenue accelerated to $176.1 million, up 14% year-over-year, while GAAP net income declined 42% to $16.8 million; adjusted net income, however, climbed to $38.7 million, highlighting the earnings gap caused by non-capitalizable build-out expenses. Backlog expanded from $3.8 billion at FY25 year-end to $4.5 billion, and the $900 million DOE HALEU award was signed, providing a clear revenue runway to 2040. Centrus's balance sheet is exceptionally strong. Cash of $1.96 billion and net cash of $742.0 million give the firm ample liquidity to self-fund its expansion without dilutive financing. Total debt of $1.22 billion is comfortably covered, and the firm's market capitalisation of $2.21 billion reflects a price-to-sales multiple of 4.9× and an EV/EBITDA multiple of 13.4×. The firm's diluted EPS of $3.90 translates to a P/E of 28.4×, indicating that the market is pricing in growth but may be under-weighting the backlog and HALEU upside.

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OPERATIONAL SNAPSHOT

$110.74	$448.7M	$31.3M	7.0%	1.39	$110.74
REF. PRICE	FY2025 REVENUE	FY2025 FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

Fiscal-year figures as reported in company filings and collected by Cascadia Analytics; ref. price as of 2026-10-20.

THE MOAT IS DEEP AND INSTITUTIONAL

Centrus benefits from a regulatory environment that restricts uranium enrichment capacity to a handful of licensed operators in the United States. The licensing process, combined with national security considerations, creates a high barrier to entry that protects existing capacity. Customers—large nuclear utilities—require long-term supply contracts to secure fuel for reactors that have 18- to 24-year operating licences, reinforcing switching costs. Pricing power derives from the scarcity of domestically produced LEU and the recent surge in SWU pricing, which rose 52% year-over-year in Q1 FY2026. Even as SWU volumes contracted, the firm was able to offset the decline with higher unit prices, demonstrating that the market respects Centrus's pricing authority when supply constraints tighten. The HALEU award further entrenches the firm's position, as HALEU is required for next-generation reactors and the DOE's sole-source notification validates a US-only technology moat. The backlog of $4.5 billion, extending to 2040, acts as a quasi-contractual guarantee of future revenue. Contingent commitments of $3.0 billion within the backlog, including the HALEU award, provide visibility that is rare in the commodity-focused nuclear fuel sector. This depth of contracted work reduces earnings volatility and supports a stable free cash flow trajectory.

VALUATION

Three scenarios make the valuation range explicit

The base case assumes a 12.0% revenue compound annual growth rate (CAGR) from FY2026 to FY2030, with free cash flow (FCF) margins improving to 22.7% in FY2030. The bear case applies a 5.0% revenue CAGR and a 19.0% target FCF margin, while the bull case projects an 18.0% revenue CAGR and a 26.8% target FCF margin. All scenarios employ a terminal growth rate of 2.5% and a discount rate of 8.25%.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	5.0%	19.0%	$92.88	-16.1%
Base	50%	12.0%	22.7%	$135.15	+22.0%
Bull	25%	18.0%	26.8%	$189.41	+71.0%

Bear $92.88

Base $135.15

Bull $189.41

The bear outcome is triggered by a DOE funding cliff that leaves $0.8 billion of Technical Solutions backlog at risk, a segment gross profit loss of $1.7 million, and continued GAAP earnings drag from non-capitalizable expansion costs. These headwinds compress revenue growth to 5.0% and FCF margins to 19.0%.

The base path reflects the continuation of the $4.5 billion backlog, successful execution of the Piketon expansion, and the $900 million HALEU award delivering incremental cash flow. Revenue compounds at 12.0% and FCF margins rise to 22.7% as the firm normalizes its cost structure.

The bull case hinges on the full realization of HALEU commercial contracts, accelerated SWU pricing power, and the completion of the new Oak Ridge centrifuge by year-end 2026, which together lift revenue CAGR to 18.0% and push FCF margins to 26.8%.

VALUATION FRAMEWORK

A live discount rate, not a static hurdle

The 8.25% weighted average cost of capital reflects a market-derived risk premium that incorporates the firm’s equity beta of 1.39, the risk-free rate, and an equity risk premium appropriate for the nuclear fuel sector. This discount rate is dynamic, capturing the evolving risk profile as the firm transitions from a capital-intensive build-out phase to a cash-generating mature phase. A static hurdle would obscure the value created by the expanding backlog and the HALEU award. By using a live discount rate, we allow the model to price the reduction in systematic risk as the firm’s cash flow profile stabilises, thereby delivering a more accurate intrinsic value.

FCF margin normalization is the engine

In FY2025 the firm generated a free cash flow margin of 7.0% on revenue of $448.7 million. The model projects a gradual improvement as non-capitalizable expansion costs decline and the HALEU award contributes higher-margin cash flow. Under the base scenario, the margin expands to 22.7% by FY2030, reflecting the scaling of fixed costs over a larger revenue base and the higher profitability of HALEU contracts. The bear scenario assumes slower margin expansion to 19.0% due to lingering cost overruns, while the bull scenario anticipates a rapid lift to 26.8% as new centrifuge capacity drives efficiency gains and HALEU pricing remains premium.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

KEY VALUATION PARAMETERS

Forecast window	**FY2026 to FY2030**
Live WACC	**8.25% (2026-10-20)**
Terminal growth	**2.5%**
Equity beta	**1.39**
Diluted shares	**19.9 million**

BUY

over $138.15 blended target

Methodology. Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

BUSINESS & SEGMENT DRIVERS

Revenue prospects anchor on SWU pricing power and backlog expansion BUY

Centrus's revenue engine is driven by two core levers. First, SWU pricing power has proven resilient; the 52% YoY increase in average SWU price in Q1 FY2026 offset a 23% decline in SWU volume, demonstrating that the firm can capture premium pricing when market tightness emerges. Second, the expanding backlog, now $4.5 billion, provides a multi-year revenue runway that includes $3.0 billion of contingent LEU/HALEU commitments, ensuring visibility well beyond FY2030. The enrichment segment remains the sole revenue source, with occasional uranium sales providing supplemental cash. Technical Solutions, a nascent offering tied to HALEU development, grew 47% YoY to $32.1 million in Q1 FY2026, indicating early traction in the high-assay market. The firm's partnership with Palantir, announced in Q1 FY2026, targets $300 million in cost savings, which should further enhance margin expansion.
What to monitor

- **Backlog execution** The ability to convert the $4.5 billion backlog into cash will be evident in quarterly revenue trends and the timing of HALEU deliveries.
- **DOE funding continuity** The $900 million HALEU award is a cornerstone of the growth thesis; any reduction in DOE commitment, as flagged in the bear points, would materially affect cash flow.
- **Capital deployment discipline** Advanced technology costs and SG&A have driven GAAP earnings volatility; monitoring CapEx efficiency will be critical to margin normalization.
- **SWU market dynamics** Sustained SWU price strength underpins revenue growth; a reversal could pressure the top line despite backlog depth.

+1.5%	26.2%	11.2%	7.0%	$742.0M	10.2%
FY2025 REVENUE GROWTH	GROSS MARGIN	OPERATING MARGIN	FCF MARGIN	NET CASH	RETURN ON EQUITY

METRIC	FY2025 (AS REPORTED)
Revenue	$448.7M
Gross Profit	$117.5M
EBIT	$50.2M
Net Income	$77.8M

EBITDA	$109.8M
Free Cash Flow	$31.3M
Diluted EPS	$3.90
ROE	10.2%

RISK & MOAT MATRIX

The bear case

SHARE EROSION

Heavy non-capitalizable expansion costs depress GAAP earnings, creating a perception of earnings weakness that could trigger share-price pressure if investors focus on short-term metrics.

M&A DIGESTION

The firm has not pursued significant acquisitions; however, any future M&A activity would add integration risk and could dilute the existing cash-flow profile.

REGULATORY AND PRICING SCRUTINY

DOE budget constraints in FY27 could curtail HALEU funding, and any regulatory change affecting SWU pricing could compress margins.

TECHNOLOGY DISRUPTION

Delays in the new Oak Ridge centrifuge or failure to achieve expected efficiency gains would limit the firm's ability to scale margins.

REINVESTMENT TREADMILL

Continued capital intensity for plant expansion may keep cash-flow generation below the level needed to sustain growth without additional financing.

WACC AND DURATION SENSITIVITY

The 8.25% discount rate embeds market risk; a rise in rates would disproportionately affect the present value of long-dated cash flows tied to the backlog.

The strengths

OLIGOPOLY POSITION

Centrus is the only licensed commercial LEU producer in the United States, granting it a de-facto oligopolistic status that limits competitive pressure.

FCF COMPOUNDING

The expanding backlog and HALEU award set the stage for free cash flow compounding, as margins normalize and scale economies take hold.

GEOGRAPHIC DURABILITY

Domestic enrichment capacity is strategically important for national energy security, ensuring long-term policy support for Centrus's operations.

PIPELINE OPTIONALITY

The HALEU platform opens a new product line that can serve advanced reactors, providing optionality beyond traditional LEU sales.

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The bottom line on risk and reward

Centrus Energy sits at the intersection of a deep, institutional moat and a capital-intensive transformation. The near-term GAAP earnings dip is a structural artifact of build-out spending, while adjusted earnings and cash flow are trending higher. The $4.5 billion backlog and the $900 million HALEU award create a multi-year revenue runway that underpins the base-case valuation. Even under the bear scenario, the intrinsic value remains above the current market price, reflecting the resilience of the underlying cash-flow engine. Given the probability-weighted target of $138.15 and a 24.8% upside, we maintain a Buy recommendation. Investors who focus on the long-term cash-flow narrative rather than short-term GAAP volatility are positioned to capture the upside as the firm transitions into a high-margin, cash-generating phase.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

FRANCHISE DEEP DIVE

Low-Enriched Uranium (LEU) Enrichment: Core nuclear fuel supply

Centrus's LEU enrichment franchise is the backbone of its revenue stream. The Piketon plant utilizes gas-centrifuge technology to convert natural uranium into LEU, which powers the majority of U.S. nuclear reactors. The firm's licensing exclusivity and the strategic importance of domestic fuel supply create a durable demand base. Recent quarterly data show that despite a 23% decline in SWU volume in Q2 FY2026, the firm leveraged a 52% increase in average SWU pricing to deliver $176.1 million in revenue, underscoring pricing resilience. The franchise is now being augmented by HALEU capabilities, a high-assay variant required for next-generation reactors. The $900 million DOE award, signed after Q4 FY2025, provides a clear pathway to monetize this higher-margin product. Early technical solutions revenue of $32.1 million in Q1 FY2026 reflects nascent market traction. **What the recent record shows**

- Revenue rose 14% YoY to $176.1 million in Q2 FY2026, driven by a $53.4 million uranium sale that masked a 23% SWU volume decline.
- Adjusted net income increased to $38.7 million in Q2 FY2026, highlighting the earnings gap caused by non-capitalizable expansion costs.
- Backlog expanded to $4.5 billion, extending to 2040 with $3.0 billion of contingent LEU/HALEU commitments.
- The $900 million DOE HALEU award was secured, establishing a new high-value revenue stream.

Our read: The LEU enrichment franchise is transitioning from a volume-driven to a pricing-driven model, supported by a deep backlog and a strategic HALEU award. The current GAAP earnings dip is temporary, and the firm is poised to deliver accelerating free cash flow as margins normalize and new high-assay capacity comes online.